

against other financial commitments, for they yield their profit in a declining market when other holdings are likely to show losses.

Some Technical Aspects of Hedging. Hedging has numerous technical aspects, however, which make it less simple and “fool-proof” than our brief description would indicate. An exhaustive discussion of hedging would fall outside the scope of this volume, and for this reason we shall merely list below certain elements that the experienced hedger will take into account in embarking upon such operations:

1. Ability to borrow stock sold and to maintain short position indefinitely.⁸
2. Original cost of establishing position, including spread and commissions.
3. Cost of maintaining the position, including interest charges on long holdings, dividends on short stock, possible premiums payable for borrowing stock, and stamp taxes in connection with reborrowings of stock—less offsets in the forms of dividends or interest receivable on long securities and possible interest credit on short position.
4. Amount of profit at which operation will probably be closed out if opportunity offers. Relationship between this maximum profit and probable maximum loss, consisting of (2) plus (3).

It should be borne in mind in these, as in all other operations in securities, that the potential profit to be taken into account is not the maximum figure that might conceivably be reached in the market but merely the highest figure for which the operator is likely to wait before he closes out his position. Once a given profit is taken, the additional profit that might have been realized subsequently becomes of merely academic interest.

An Intermediate Form of Hedging. An intermediate form of hedging consists of purchasing a convertible issue and selling only part of the related common shares, say, one-half of the amount receivable upon conversion. On this basis a profit may be realized in the event of either a substantial advance or a substantial decline in the common stock. This is probably the most scientific method of hedging, since it requires no opin-

⁸ Regulations of the S.E.C. and the stock exchanges have made short selling more difficult since 1934. For example, short sales could be made for a time only at a price higher than the last previous trade. The rule was later relaxed to permit short sales at a price no lower than the last trade. The obstacle imposed by these rules is mitigated in part by the fact that hedges of the kind under discussion are ordinarily set up only in a rising and fairly active market.